

504MAN – Resource Management

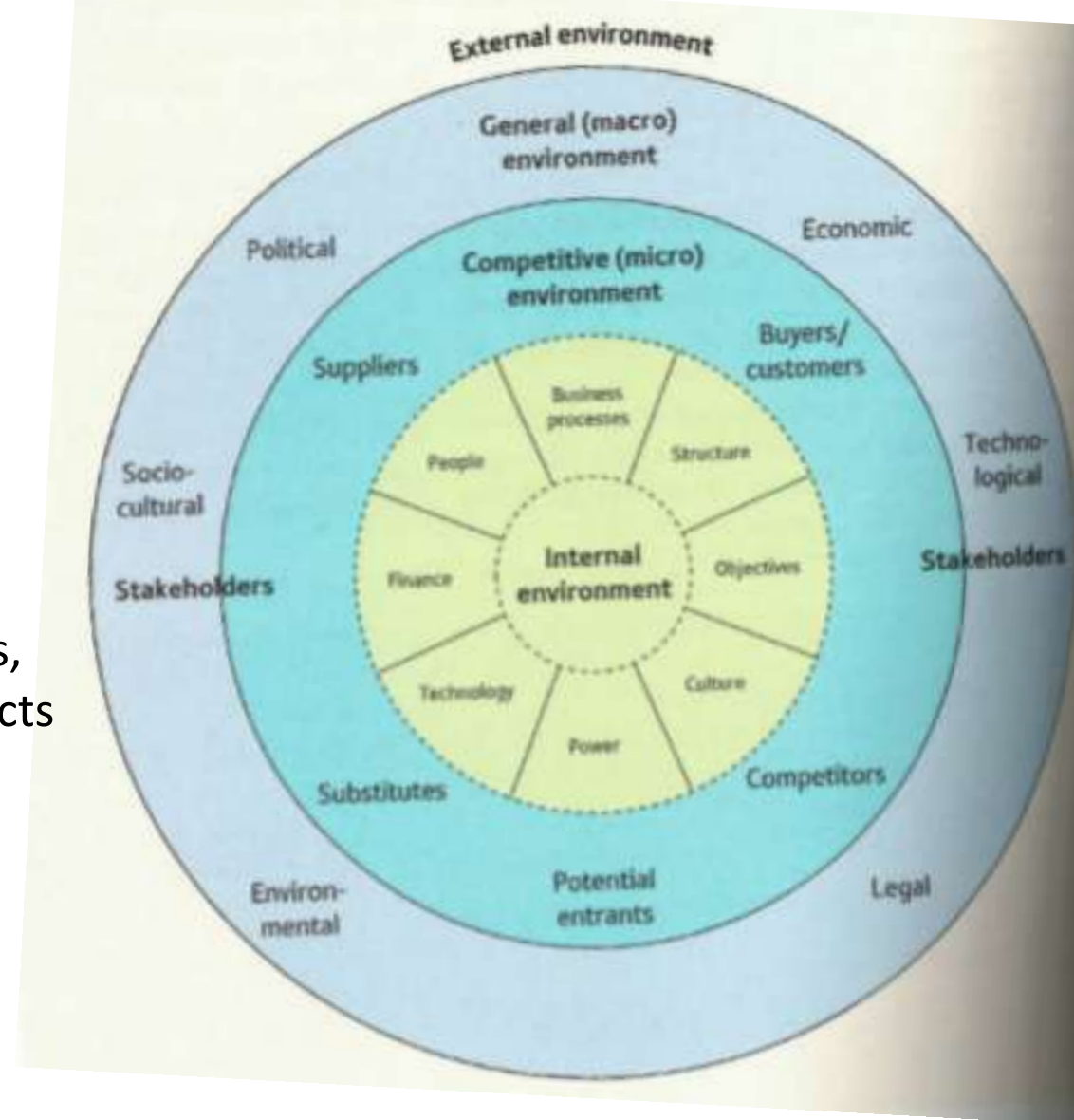
Module – Key Themes



- Development of HRM ✓
- Recruitment and Selection ✓
- Performance Management ✓
- Resource Planning
- Resource Monitoring
- Remedial Responses

Four environmental forces

1. Inner circle
 - Internal environment
 - Managers most immediate context
2. Competitive environment
 - Sometimes known as the micro-environment
 - Industry specific environment of customers, suppliers, competitors, potential entrants and substitute products
3. General environment
 - Sometimes known as the macro-environment
 - PESTLE factors
4. External environment
 - All of the above
 - Constantly changing source of threats and opportunities



Boddy, D. *Management an introduction*. 7th ed. Harlow: Pearson, pp86-87.

Analysis of the environment

- Internal
- Micro
- Macro



Taken over a small
seasonal business

- Porters Five Forces
- PESTLE
- SWOT
- Strategic Direction
- Aims and Objectives

Level of
importance

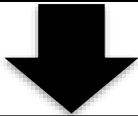
Stakeholder Analysis



Carroll's CSR model



- Who they are?
- Stakeholder mapping models (anything new?)
- Stakeholder needs analysis
- Approach to CSR

- 
- Vision, values and mission
 - Strategic direction
 - Aims and objectives
 - Planning and management of resources

Financial Analysis

- Analyse the past performance for 3 years?

Future financial projections ?

Resource
Planning

- Sales turnover?
- Gross profit margin?
- Net profit margins?
- Current ratio?
- Cash flow statements?

- Vision, values and mission
- Key influences in the internal, micro and macro environment
- SWOT
- Strategic direction
- Aims and objectives
- Approach to stakeholders and CSR

Planning

Organising

Supervising

Efficiency

Resource
Planning

Transformation
Process

Supply chain
management

Operations Management

- Production
- Service delivery

Logistics

Quality

Lead times

Layout

Absenteeism

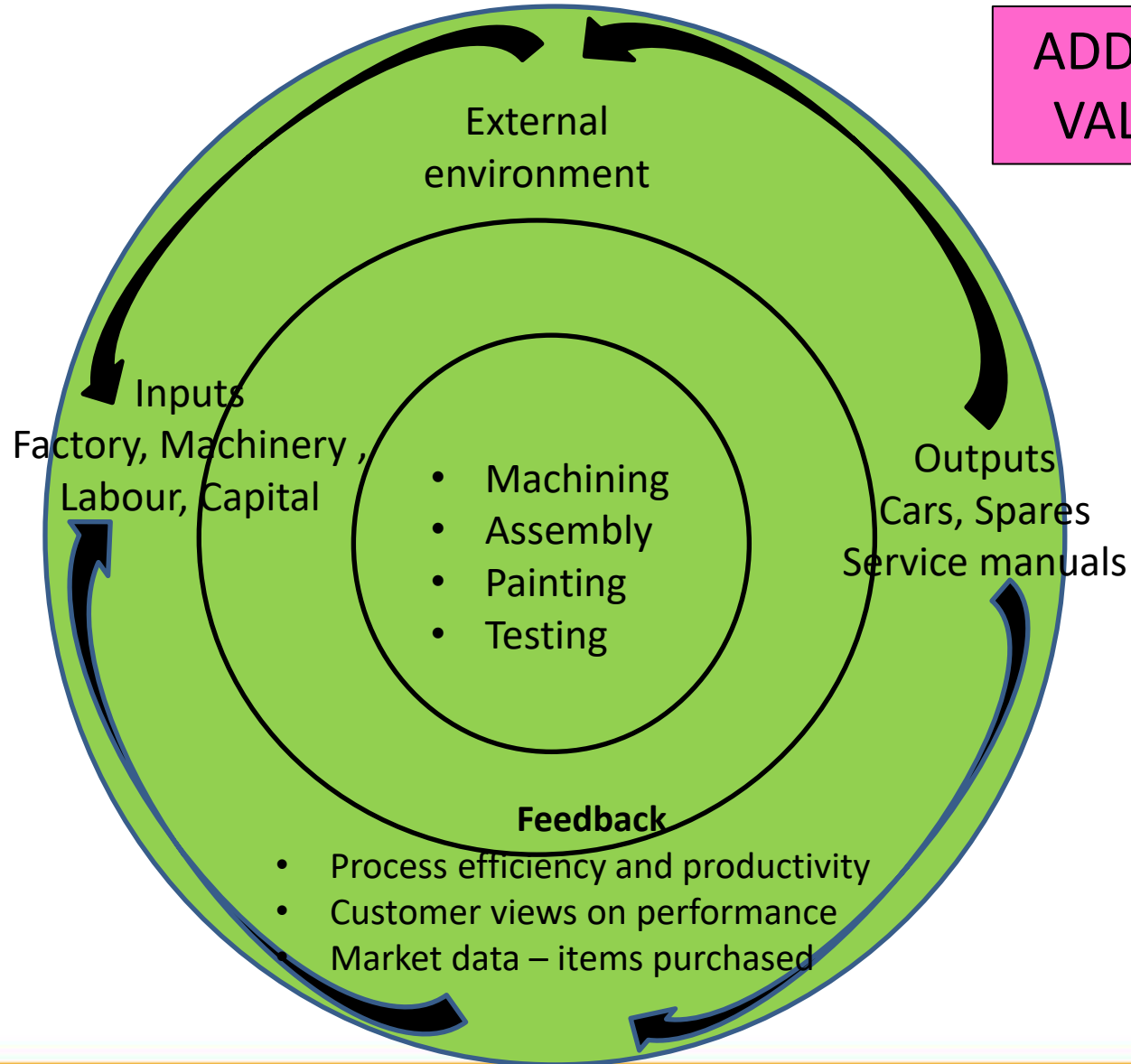
Staff
turnover

Capacity
Utilisation

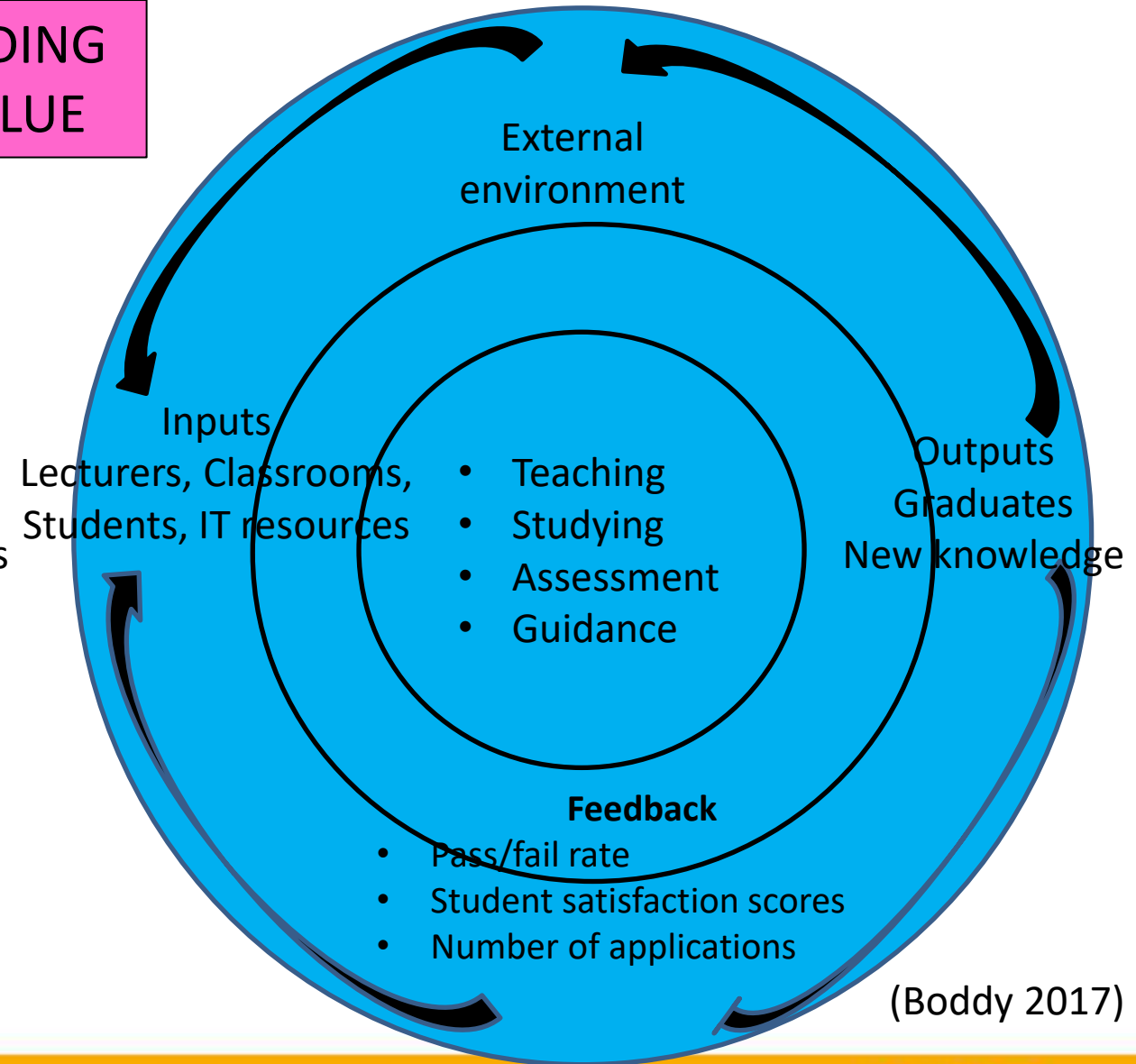
What is operations management?

- Systems and processes
 - Operations challenges
 - Transformation process
 - Nature of products – tangible or intangible
 - Service delivery and the customer
- Repeatable
 - Consistent
 - Reliable
 - Efficient
 - Competitive
 - Compliant

Manufacturing Transformation



Service Transformation



(Boddy 2017)

Learning Outcomes



4. Investigate and plan the resources required to achieve an organisation's aims and objectives.

5. Evaluate and appraise the use of resources against organisational plans.

6. Formulate plans to ensure that resources are maximised and remedial actions taken where appropriate.

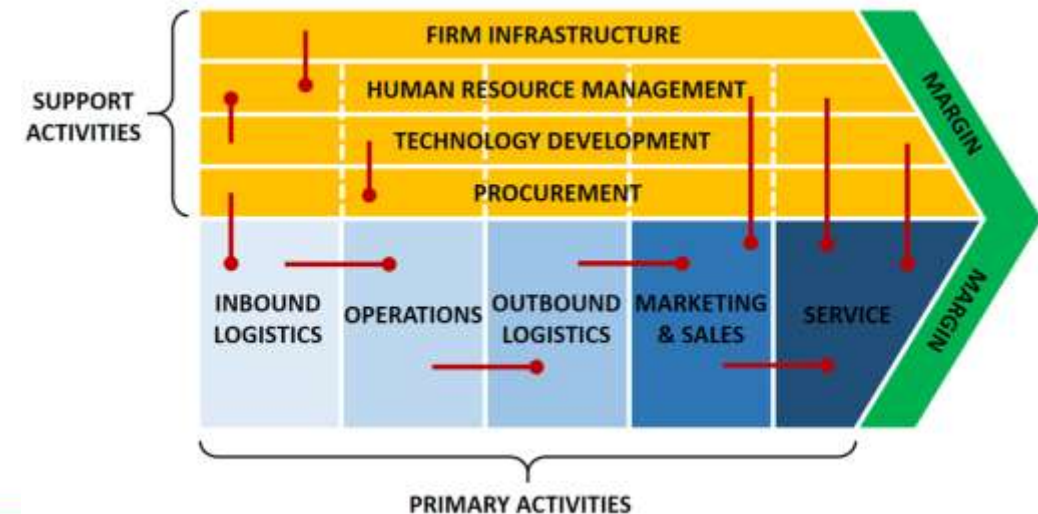


Investigate and plan the resources needed to achieve the organisation aims and objectives

Resource planning involves the strategic use of human and non-human resources to develop products and services under deadline and budget restraints.

Operations analysis

- How does your organisation operate?
- What is the input – transformation – output process?
- How do they add value?



Planning

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Resource Management

Resources and Competitive
Advantage

Resource-Based View (RBV)

- What happens inside the firm is as important as what happens outside it (Penrose 1959)
- The firm is a collection of assets or resources that are tied semi-permanently to it (Wernerfelt 1984)
- Resources are all assets, capabilities, organisational processes, firm attributes and information knowledge controlled by the firm that enable it to conceive and implement strategies that improve its efficiency and effectiveness (Daft 1983)

(Paton et al 2011:39)

The Resources of an Organisation

Vary in both form
and substance

- Potential to create value for the customer



- Contribute to competitive advantage



- Secure the business within the market

Resource category	Tangible	Intangible
Physical	Plant and equipment Geographical location Access to raw materials	
Human		Skill and experience Judgement and insight Intelligence and creativity Relationships
Organizational	Systems and processes	Management structure Culture

(Paton et al 2011:39)

Resources and Competitive Advantage

- For a resource to result in some sort of competitive advantage it needs 4 attributes (VRIN) (Barney 1991)
- **Valuable**
- **Rare**
- **Imperfectly imitable**
- **Non substitutable**

Referring to the table on previous slide which resources are more difficult to imitate?

It is important to understand how long an advantage, once achieved will last and then work on its perpetuation or its replacement

(Paton et al 2011:40-41)

Core Competencies

- Bundling of resources (Hamal and Prahalad 1990)
- Could be:
 - the combination of a firm's human resources or
 - physical resources it has
- Core competence contributes directly to the businesses strategic goals
- Differentiation – leads to a competitive advantage
(Paton et al 2011:43)

M&S

EST. 1884

The Amazon logo, featuring the word "amazon" in a dark blue, lowercase, sans-serif font. A curved orange arrow is positioned below the letters "a" and "z", pointing from the "a" to the "z".

dyson

Contemporary Thinking



- Dynamic changing nature of markets
- Refresh current resources or create future resources
- Timely and rapid reaction to changing market conditions
- **Dynamic capability** - firms ability to integrate, build and reconfigure competencies to address changing environments
- It's not reactive problems solving!
- Its intentional, planned, and deliberate
- Changing resources of bundles of resources to meet a future perceived state

(Preece and Pisano 1994)

(Paton et al 2011:45)

Dynamic Capabilities – 4 Main Processes

1. Reconfiguration (eg a merger realizes new synergies that didn't exist previously)
2. Leveraging (replication of processes or systems across operational units)
3. Learning (increase in effectiveness and efficiency following reflection of previous successes/failures)
4. Integration (the pulling together of resources to create new competencies)

(Ambrosini and Bowman 2009)

(Paton et al 2011:45)

References

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